

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573

DOCKET NO. 24-14

AIRBOSS DEFENSE GROUP, LLC,
COMPLAINANT,

v.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC., MSC
MEDITERRANEAN SHIPPING COMPANY S.A. and MEDITERRANEAN SHIPPING
COMPANY (USA) INC., as
agent for MSC Mediterranean Shipping Company S.A., and TOTAL TERMINALS
INTERNATIONAL, LLC,

RESPONDENTS.

**JOINT MOTION FOR APPROVAL OF
CONFIDENTIAL SETTLEMENT AGREEMENT**

This joint motion is submitted by Complainant AirBoss Defense Group, LLC (“ADG”) and Respondents FedEx Trade Networks Transport & Broker, Inc. (“FTN”) and MSC Mediterranean Shipping Company SA/Mediterranean Shipping Company (USA) Inc. (jointly, “MSC” and, together with FTN, “Respondents”). ADG and Respondents are referred to collectively as the “Parties.”

The Parties submit this joint motion for approval of the Confidential Settlement Agreement (the “Agreement”) filed under seal concurrently herewith. The Parties believe that the Agreement

meets the criteria set by the Federal Maritime Commission (the “FMC” or the “Commission”) for approval of settlement agreements and therefore should be approved.

I. INTRODUCTION

This proceeding was commenced when ADG filed a complaint on or about March 14, 2024, alleging violations of the Shipping Act of 1984, as amended.

As noted in paragraph 42 of the Complaint the Parties, and certain non-parties who were involved in the transactions that gave rise to the complaint, are litigating claims arising out of the same transactions involved in this proceeding in several separate proceedings in different federal district courts (although the bulk of the litigation is in the U.S. District Court for the District of Maryland). As detailed in previous status reports to the Presiding Officer, the Parties and other concerned entities engaged in multiple mediation sessions under the auspices of a federal magistrate judge, which sessions ultimately produced the complex, multiple-entity Agreement herewith submitted confidentially for approval.

This proceeding was stayed through April 30, 2025 to permit the entities involved in the settlement time to finalize the Agreement.

II. REQUEST FOR APPROVAL OF THE CONFIDENTIAL SETTLEMENT AGREEMENT

In assessing settlement agreements, the Commission has established “a strong and consistent policy of ‘encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.’” *Aeneas Exporting LLC v. Carlo Shipping International Inc.*, FMC Dkt. No. 20-11, 2020 WL 5037329, at *1 (FMC ALJ Aug. 24, 2020) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (FMC ALJ 2002)). Moreover, “if it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the

settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. US. Atl. & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, FMC Dkt. Nos. 88-2, 88-4, 1988 WL 340657, at *7 (FMC ALJ Aug. 12, 1988).

The Parties are sophisticated corporate entities that reached the Agreement through robust negotiations, with the Agreement “reflect[ing] careful consideration of the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 S.R.R. 623, 636 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd.*, 1988 WL 340657, at *7). The Agreement does not contravene any law or public policy, and it is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Indeed, any third parties affected by the Agreement are parties to it.

The Agreement is a fair and reasonable resolution of the dispute between the Parties, as well as non-parties, and reflects the desire of all signatories to the Agreement to resolve their issues without the need for costly litigation before the Commission and the courts. For these reasons, the Parties respectfully request that the Agreement be approved and, on that basis, the verified complaint and cross-complaint in this matter be dismissed with prejudice.

III. REQUEST FOR CONFIDENTIAL TREATMENT AND LEAVE TO FILE UNDER SEAL

The Commission routinely affords confidential treatment to settlement agreements under 46 C.F.R. Section 502.5, given that they “often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (North America) Inc.*, FMC Dkt. No. 16-02, 1 F.M.C.2d 135, 137 (FMC May 22, 2018). Accordingly, “[i]f parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Marine Transp. Logistics, Inc., v. CMA-CGM (Am.) LLC*,

FMC Dkt. No. 18-07, 2 F.M.C.2d 31, 33 (FMC ALJ Feb. 18, 2020) (quoting *Al Kogan v. World Express Shipping, Transp. & Forwarding Servs., Inc.*, FMC Dkt. No. 00-04, 29 S.R.R. 68, 70 n.7 (FMC ALJ Dec. 14, 2000)).

The Agreement is the result of confidential negotiations between the Parties and other interested entities and contains a confidentiality provision. The Parties therefore jointly and respectfully request leave to file the Agreement under seal for review and approval, and that the Agreement thereafter continue to be afforded confidential treatment by the Commission.

IV. CONCLUSION

The Agreement comprehensively addresses the issues relating to the above-referenced proceeding and meets the Commission's well-established criteria for approval of agreements settling administrative litigation and should therefore be approved and, upon such approval, FMC Docket No. 24-14 should be discontinued in its entirety.

Dated: April 30, 2025

Respectfully submitted,

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